

4.

CASE #	CASE NAME	HEARING NAME
CVME2600199	GALLARDO VS MERCEDES-BENZ USA, LLC	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Evidentiary Objections overruled. Motion to compel arbitration is granted. Case is stayed pending arbitration. The court must grant the petition to compel arbitration unless it finds either: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (Cal. Rules of Court, rule 3.1330; see *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–219.) This rule does not require the petitioner to authenticate the agreement or do anything more than allege its existence and attach a copy. (*Condee*, supra, 88 Cal.App.4th at 218-219.) Once this is done, the burden shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Condee*, supra, 88 Cal.App.4th at 218-219.)

Here, Defendant provides a copy of the arbitration agreement. (White Decl., ¶2, Ex. 1.) Plaintiff does not challenge her signature.

Defendant provides a lease agreement between Plaintiff and the lessor/dealer Mercedes-Benz of Temecula. (White Decl., Ex. 1.) The lease has an arbitration clause as follows:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA, LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. (Lease, p. 4-5.)

A nonsignatory third party beneficiary may be subject to arbitration. (*Epitech, Inc. v. Kann* (2012) 24 Cal.App.4th 1365.) The question is whether the third party is a third party beneficiary based on the parties intent, and from reading the contract in light of the circumstances of where the contract was entered. (*Id.* at 1371-1372.) Civil Code section 1559 provides: “A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” It is true that the third party need not be named in the contract—he merely must show he is a member of the class for which the benefit was made for. (*Prouty v. Gores Technology*

Group (2004) 121 Cal.App.4th 1225, 1222.) The test is whether there is an intent to benefit a third party that appears from the terms of the contract. (*Id.*) The intent must have been clearly manifested. (*Schauer v. Mandarin Gems of California, Inc.* (2005) 125 Cal.App.4th 949, 957-958.) Defendant is specifically identified as a third party beneficiary.

Plaintiff cites to *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830, which states that a court looks at the express language of the contract and the circumstances under which the parties agreed to the contract, including whether the third party would in fact benefit from the contract, whether a motivating purpose of the contracting parties was to provide a benefit and whether permitting a third party to bring its own breach of contract action is consistent with the objectives of the contract and reasonable expectations of the contracting parties. However, there, the plaintiff was not expressly named as a party. Even assuming the *Goonewardene* factors apply, the arbitration agreement expressly identifies Defendant as a third party beneficiary, which Plaintiff agreed to by signing the lease. Here, Defendant benefits from the contract as it is entitled to enforce the arbitration agreement. The leases clear language indicates an express intention to identify Defendant as a third party beneficiary. It is consistent with the objectives of the contract as any other result would contradict the express terms of the contract.

Plaintiff relies on the *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122. However, again, the manufacturers were never named as part of the sales contract. In contrast here, Defendant is expressly named as a third party beneficiary. Plaintiff then asserts that her claims do not arise out of the lease. However, the arbitration provision provides: “which arises out of or relates to a credit application, this lease *or any resulting transaction or relationship arising out of this lease.*” Plaintiff has alleged that “[i]n connection with the lease, Plaintiff received various warranties.” (Complaint ¶9.) Plaintiff’s relationship would not exist with Defendant without the lease, as Plaintiff leased the vehicle.

5.

CASE #	CASE NAME	HEARING NAME
CVME2504902	ANWAR VS SCUDDER	EX PARTE HEARING RE: OF SHARI R. SCUDDER AND SHELLEY E. MANGRAM TO ENFORCE PRELIMINARY INJUNCTION

Tentative Ruling: Hearing Required.

6.

CASE #	CASE NAME	HEARING NAME
CVME2504902	MILLER V YBARRA	APPLICATION FOR GOOD FAITH SETTLEMENT

Tentative Ruling: Application is granted. Here, Plaintiff submits the declaration of her counsel stating that the settling parties have agreed to the following material terms: